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Dear Interested Party

Re: ACCC seeking your views: Brookfield Renewable's proposed acquisition of Neoen

The Australian Competition and Consumer Commission (**ACCC**) is seeking your views on the proposed acquisition of Neoen SA (**Neoen**) by a consortium led by Brookfield Renewable Holdings SAS (**Brookfield BidCo**) (the **Proposed Acquisition**).

Brookfield Corporation (**Brookfield**) (which includes its varied separate funds and related entities, including Brookfield BidCo) is, a global asset management corporation headquartered in Toronto, Canada. Neoen is a French public company which specialises in renewable energy projects across the world. Further details are provided at **Attachment A**.

The ACCC's investigation is focused on the impact that the Proposed Acquisition would have on competition in Australia.

In particular, we are seeking your views on whether the Proposed Acquisition would be likely to increase Brookfield's degree of vertical integration in the electricity sector in such a way that substantially lessens competition. We also welcome any comments regarding the extent to which Neoen directly competes with Brookfield or any of its subsidiaries in its activities in Australia.

Further issues you may wish to address are set out in **Attachment B**.

Brookfield BidCo has proposed to offer a court enforceable undertaking to address potential competition issues. The proposed undertaking would involve the divestiture of Neoen's development projects in Victoria and some separation obligations regarding the management of Neoen and AusNet in Australia. The ACCC may consult on the details of a proposed undertaking at a later point, noting that the form of any such undertaking offered by Brookfield may differ from that previously accepted by the ACCC in relation to Brookfield LP and MidOcean's proposed acquisition of Origin Energy Limited.

The ACCC will only accept an undertaking in relation to the Proposed Acquisition if it sufficiently addresses any competition concerns that may arise from the Proposed Acquisition.

This matter is public and you can forward this letter to anybody who may be interested.

The legal test which the ACCC applies in considering the Proposed Acquisition is in section 50 of the *Competition and Consumer Act 2010*. Section 50 prohibits acquisitions that are likely to have the effect of substantially lessening competition in a market.

Please provide your response by **26 July 2024** via email with the title: *Submission re: Brookfield/Neoen*. If you require more time to respond, please let us know.

If you would like to arrange a time to discuss the matter with ACCC officers, or have any questions about this letter, please contact mergers@accc.gov.au.

Updates regarding the ACCC's investigation will be available on the ACCC's Public Mergers Register at ([ACCC mergers register](#)).

Confidentiality of submissions

The ACCC treats sensitive information it receives during a merger review as confidential, and will not publish your submission. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the Competition and Consumer Act 2010. Where the ACCC is required to disclose confidential information, we will notify you in advance where possible so that you have an opportunity to be heard. Therefore please clearly indicate if any information you provide is confidential.

Our [Informal Merger Review Process Guidelines](#) contain more information on confidentiality.

Yours sincerely



Aggie Marek
Acting General Manager
Merger Investigations

Attachment A – Overview of the merger parties and the Proposed Acquisition

The Proposed Acquisition involves several corporations with complex corporate structures. A simplified summary has been provided below for ease to indicate relevant areas where affiliate or subsidiary companies hold interests.

Brookfield

Brookfield is a global asset management company headquartered in Toronto, Canada and currently has over US\$900 billion assets under management. Brookfield comprises the ultimate parent Brookfield Corporation, Brookfield Asset Management Ltd, and its affiliates.

Brookfield BidCo and Brookfield Renewable

Brookfield BidCo has been established for the purposes of the Proposed Acquisition. Brookfield Global Transition Fund II (**BGTF II**) will be the largest investor in Brookfield BidCo.

Brookfield's Renewable Power and Transition business unit (**Brookfield Renewable**) owns interests in renewable energy generation assets across five continents.

Brookfield Renewable Partners (**BEP**) is a publicly traded limited partnership that owns and operates renewable power assets. It has generating facilities in North America, South America, Europe, Asia, and Australia.

Brookfield Infrastructure

Brookfield's Infrastructure business unit (**Brookfield Infrastructure**) acquires and invests in infrastructure assets which provide services across the transport, midstream, utilities and data sectors including electricity transmission.

X-Elio

X-Elio is a portfolio company owned and controlled by Brookfield. It is a Spanish global renewable energy developer and operator that specialises in the development, construction, financing, operations and maintenance of renewable and sustainable utility scale energy projects.

X-Elio currently has one operating solar farm in Queensland. It has a number of projects that are at varying stages of development. Its development projects are located across Queensland, New South Wales, Victoria, and South Australia.

AusNet

AusNet is owned by Australian Energy Holdings No 4 Pty Limited, which is a company controlled by Brookfield. Brookfield Infrastructure (through Brookfield Super-Core Infrastructure Partners) is the largest investor and has a 45.4% interest in AusNet with the balance being held by a group of independent third parties.

AusNet is an Australian energy delivery services group that owns and operates the

principal existing electricity transmission network in Victoria. It also owns and operates one of five electricity distributors in Victoria.

AusNet has two Battery Energy Storage System projects operating in Victoria. It has a further two active development projects in Victoria.

TransAlta

Brookfield, through BEP, has a 13.04% interest in TransAlta. TransAlta has a 50% interest in the Parkeston gas-fired power station, which is connected to the South West Interconnected System.

TransAlta also owns Southern Cross Energy, a series of four, single-turbined gas-fired power stations located in Kambalda, and Northern Goldfields solar farm, both of which are located in the Goldfields region near Kalgoorlie.

Temasek

Temasek is an investment company headquartered in Singapore. It proposes to underwrite the Proposed Acquisition and will ultimately acquire a minority interest in Neoen.

Temasek's related entities have interests in the following businesses:

- Jemena, an owner and operator of electricity distribution, gas distribution and gas transmission assets across eastern and northern Australia
- Zinfra, a firm which delivers engineering, design, field-based maintenance and operating services across energy infrastructure assets in Australia, and
- Ovida, a firm which offers distributed energy resources products and services to individual customers and multiple connected customers via the integration of traditional generation or commodity markets.

Neoen

Neoen is a French public company, listed on the Euronext Paris stock exchange. Neoen specialises in the development, construction, financing, operation and management of renewable energy projects across 16 countries globally.

In Australia, Neoen has ~1.8GW of operating generation and storage assets, and ~10GW of generation assets that are at varying stages of development. It currently has 15 operating assets and a further 48 projects in varying stages of development across Australia.

Neoen has assets or projects at varying stages of development in the following states:

- Victoria, where it has three operating assets and eight projects in development
- New South Wales, where it has five operating assets and 13 projects in development
- Queensland, where it has two operating assets and eight projects in development

- South Australia, where it has five operating assets and nine projects in development
- Western Australia, where it has nine projects in development, and
- Tasmania, where it has one project in development.

The Proposed Acquisition

A consortium comprising Brookfield and Temasek proposes, via Brookfield BidCo, to acquire up to 100% of the issued capital in Neoen.

The Proposed Acquisition is made up of two components:

- A direct acquisition of blocks of shares held by several shareholders, which totals 53.32% of the share capital and 53.38% of the voting rights of Neoen.
- A mandatory offer to be filed with the French financial markets authority for the remaining securities issued by Neoen. The remaining minority shareholders will then be compulsorily acquired, and Neoen delisted, subject to French financial market regulations.

Potential section 87B Undertaking

Brookfield BidCo has indicated it is willing to offer a court enforceable undertaking pursuant to section 87B of the CCA.

Broadly, Brookfield BidCo proposes an undertaking to:

- Divest Neoen's development projects in Victoria, and
- Put in place some separation obligations regarding Brookfield Renewable's management of Neoen, and Brookfield Infrastructure's management of AusNet in Australia.

As part of its review, the ACCC is seeking preliminary views on whether, in-principle, this type of undertaking is necessary and capable of addressing any competition concerns raised by the Proposed Acquisition.

The ACCC has not yet decided whether this type of undertaking, or any undertaking at all, would be capable of addressing any competition concerns. The ACCC may consult on the specific terms of a proposed undertaking as its review progresses.

Attachment B – List of questions

The ACCC seeks your views on the questions in this attachment. The more information we have, the better we can assess the impact of the proposed acquisition. However, if you are unsure of any questions, or do not have specific knowledge about some of the questions, you can leave them blank. You can also include any other information you think is relevant.

Where possible, provide specific examples to support your views.

Overview of interest in Proposed Acquisition

1. Please provide a brief description of your business or organisation.
2. Outline the reasons for your interest in the Proposed Acquisition, including any commercial relationship/s with Brookfield and/or Neoen or any of their affiliates or investors. If applicable, please identify the specific product(s) and/or service(s) that you supply to, acquire from, or compete with Brookfield and/or Neoen to provide.

Relevant markets

The ACCC is currently considering the likely competitive effects of the proposed acquisition in the following potential markets:

- Electricity generation markets in Victoria
 - Electricity generation and supply markets in the National Electricity Market
 - Electricity generation and supply markets in Western Australia, and
 - The supply of new renewable and firming generation and storage services in Victoria.
3. The ACCC seeks your views on whether the above markets are the relevant markets for considering the impact of the proposed acquisition.

Regulatory environment of the electricity sector

4. Please indicate the extent to which the following regulatory measures limit the ability for an electricity transmission network operator in Victoria to discriminate against an existing, or new, electricity generator in Victoria:
 - National Electricity Law
 - National Electricity Rules
 - National Electricity (Victoria) Amendment Act 2024 (**VicGrid Act**), and
 - Australian Energy Regulator's Transmission Ringfencing Guidelines.

Could AusNet delay or disadvantage some new connections in favour of streamlined connections for Neoen's generators or storage assets?

5. Is it possible for an electricity transmission network operator in Victoria to favour certain electricity generators by delaying, refusing, raising the price of, or otherwise hindering connections to other generators?
6. What would be the benefits to Brookfield post-acquisition from AusNet engaging in such conduct?
7. If AusNet were to engage in such conduct, how could it be detected and evidenced by connecting parties and/or the relevant regulator(s)?
8. Please indicate the extent to which regulatory measures would limit the ability for AusNet to pursue a strategy of delaying, refusing, raising the price of, or otherwise hindering the connection of new competing generators.
9. Do you consider that the risk of being found to breach these measures combined with the penalties for doing so would sufficiently deter AusNet from engaging in such a strategy?

Could a transmission network operator cause strategic outages for its own benefit or the benefit of shareholders?

10. Is it possible for an electricity transmission network operator in Victoria to favour certain electricity generators by causing strategic outages of lines that are used by competing generators?
11. Is it possible for (i) renewable energy generators and (ii) storage assets to increase their electricity output in response to higher spot market prices at times when certain transmission lines are undergoing outages?
12. What would be the benefits to Brookfield from AusNet engaging in such conduct?
13. Please indicate the extent to which the regulatory regime relating to network outages would prevent a transmission network provider from engaging in such a strategy?
14. Do you consider that the risk of detection combined with the penalties for breaching these measures would exceed any potential gain from such a strategy?

Could transmission investment and maintenance decisions be made to favour shareholder assets?

15. What role does a transmission network service provider have in terms of decisions relating to procurement and investment in new, or expanded, electricity transmission infrastructure in Victoria?
16. Does AusNet have the ability to bring forward, or postpone, maintenance and replacement programs in areas of the network that could favour Neoen's generation or storage assets? Please set out the reasons for your answer.

17. Post-acquisition, what would the benefits to Brookfield be from AusNet engaging in such conduct?
18. Please indicate the extent to which the regulatory regime relating to investment and maintenance decisions would prevent a transmission network provider from favouring certain generators as set out above.
19. Do you think that the risk of detection combined with the penalties for breaching these measures would exceed any potential gain from such a strategy?

Electricity generation assets

20. Do you consider that Brookfield, through its ownership of X-Elio which owns one solar farm in Queensland, and Neoen currently compete in the generation and wholesale supply of electricity in the NEM? Please set out reasons for your answer.
21. Describe any scenarios in which a Battery Energy Storage System, for example, the Victorian Big Battery, could be used in place of electricity generation?
22. Please outline the process in which an entity would typically:
 - a. award contracts
 - b. enter into offtake agreements, and/or
 - c. enter into capacity contracts

for renewable energy and storage projects. In your answer, please identify who determines the awarding of the contract or agreements as well as any relevant criteria that may be considered.

23. Please provide examples of entities that would also bid for these projects in competition with Neoen.

The Proposed Undertaking

24. Do you consider an undertaking is necessary to resolve any competition concerns arising from the Proposed Acquisitions? Please explain why.
25. What areas would an undertaking need to cover to adequately resolve any competition concerns you have raised with the Proposed Acquisition?

Additional information

26. Please provide any additional information or comments that you consider relevant to the ACCC's consideration of the Proposed Acquisition.